

authority of *Sloane v. Cadogan* (*f*) a valid trust is created when the settlor has executed an assignment of it to a new trustee; for an equitable interest is capable of transmission from one to another; and here the Court finds the relation of trustee and *cestui que trust* *established [*73] without the necessity of calling on the settlor to join in any act for giving it completion.

The late Vice-Chancellor of England questioned the case of *Sloane v. Cadogan* upon this point (*a*); but in *Kekewich v. Manning* (*b*), Lord Justice K. Bruce observed, "Suppose stock or money be legally vested in A. as a trustee for B. for life, and subject to B.'s life interest for C. absolutely; surely it must be competent to C. in B.'s lifetime, with or without the consent of A., to make an effectual gift of C.'s interest to D. by way of pure bounty, leaving the legal interest and legal title untouched. If so, can C. do this better or more effectually than by executing an assignment to D.?"

These principles have since been acted upon (*c*), and *Sloane v. Cadogan* may be regarded as law. It had been before contended that the assignment operated by way of *contract*, and as there was no consideration the Court could not enforce it; but the rule now is, that the assignment passes the equitable *estate* (*d*).

11. **Where new trust is created without new trustees.**—In other cases a person entitled to an equitable interest, instead of assigning it to new trustees, has directed the old trustees

(*f*) Appendix to Sug. Vend. & Purch. *Quære*, also, if the same point was not ruled in *Ellison v. Ellison*, 6 Ves. 656; for though the facts are very imperfectly stated, it would seem from some expressions that at the date of the settlement the legal estate was not in the settlor; and see *Reed v. O'Brien*, 7 Beav. 32; *Bridge v. Bridge*, 16 Beav. 315; *Gannon v. White*, 2 Ir. Eq. Rep. 207.

(*a*) *Beatson v. Beatson*, 12 Sim. 281.

(*b*) 1 De G. M. & G. p. 188.

(*c*) *Voyle v. Hughes*, 2 Sm. & Gif.

18; *Lambe v. Orton*, 1 Dr. & Sm. 125; *Gilbert v. Overton*, 2 H. & M. 110; *Woodford v. Charnley*, 28 Beav. 99, per M. R.; *Re Way's Trust*, 2 De G. J. & S. 365; reversing same case, 4 New Rep. 453.

(*d*) *Donaldson v. Donaldson*, 1 Kay, 711. "If," Sir J. Wigram on one occasion observed, "the equitable owner of property, the legal interest of which is in a trustee, should execute a voluntary assignment, and authorise the assignee to sue for and recover the property from that trustee, and the assignee should give notice thereof